

# CREDIT-TIERED BORROWER-PAID ANNUAL PREMIUMS

MGIC

## NATIONAL RATES

MARCH 2012

NOTE: Not all LTVs and credit scores are available with all programs or in all markets

### BPMI Fixed Annual Premiums

30-YEAR ■ REFUNDABLE

| BASE LTV         | COVERAGE | Class Selection |         |         |         |
|------------------|----------|-----------------|---------|---------|---------|
|                  |          | CLASS 1         | CLASS 2 | CLASS 3 | CLASS 4 |
|                  |          | 760+            | 720-759 | 680-719 | < 680   |
| 97%<br>to 95.01% | 35%      | .79%            | .85%    | 1.06%   | N/A     |
|                  | 30       | .71             | .77     | .96     | N/A     |
|                  | 25       | .63             | .68     | .83     | N/A     |
|                  | 18       | .52             | .56     | .73     | N/A     |
| 95%<br>to 90.01% | 35       | .66             | .73     | 1.02    | 1.32%   |
|                  | 30       | .57             | .64     | .90     | 1.15    |
|                  | 25       | .53             | .59     | .80     | 1.03    |
|                  | 18       | .48             | .53     | .70     | .80     |
| 90%<br>to 85.01% | 16       | .46             | .51     | .68     | .74     |
|                  | 30       | .52             | .56     | .65     | .83     |
|                  | 25       | .42             | .46     | .58     | .71     |
|                  | 17       | .36             | .40     | .45     | .56     |
| 85%<br>& UNDER   | 12       | .32             | .36     | .40     | .47     |
|                  | 25       | .40             | .41     | .44     | .64     |
|                  | 17       | .33             | .34     | .39     | .53     |
|                  | 12       | .26             | .29     | .34     | .39     |
|                  | 6        | .24             | .27     | .30     | .33     |

STANDARD AGENCY  
COVERAGE REQUIREMENTS

for loan terms > 20 years

for loan terms ≤ 20 years

### BPMI Nonfixed Annual Premiums

30-YEAR ■ REFUNDABLE

| BASE LTV         | COVERAGE | Class Selection |         |         |         |
|------------------|----------|-----------------|---------|---------|---------|
|                  |          | CLASS 1         | CLASS 2 | CLASS 3 | CLASS 4 |
|                  |          | 760+            | 720-759 | 680-719 | < 680   |
| 95%<br>to 90.01% | 35%      | .94%            | .98%    | 1.37%   | 1.65%   |
|                  | 30       | .81             | .84     | 1.18    | 1.44    |
|                  | 25       | .74             | .77     | 1.04    | 1.29    |
|                  | 18       | .61             | .64     | .85     | 1.00    |
| 90%<br>to 85.01% | 16       | .59             | .61     | .81     | .93     |
|                  | 30       | .76             | .78     | .91     | 1.04    |
|                  | 25       | .63             | .65     | .78     | .89     |
|                  | 17       | .54             | .56     | .63     | .71     |
| 85%<br>& UNDER   | 12       | .46             | .48     | .53     | .59     |
|                  | 25       | .60             | .62     | .70     | .81     |
|                  | 17       | .44             | .45     | .52     | .67     |
|                  | 12       | .34             | .35     | .41     | .50     |
|                  | 6        | .33             | .34     | .38     | .42     |

|                             | CLASS 1 | CLASS 2 | CLASS 3 | CLASS 4 |
|-----------------------------|---------|---------|---------|---------|
|                             | 760+    | 720-759 | 680-719 | < 680   |
| PREMIUM ADJUSTMENTS         |         |         |         |         |
| Rate-and-Term Refinance     | .05     | .10     | .15     | .30     |
| Cash-out Refinance*         | .18     | .20     | N/A     | N/A     |
| Second Homes                | .12     | .14     | .20     | .35     |
| Loan Amounts > \$417,000    | .20     | .25     | .40     | .60     |
| Declining Renewals          | .02     | .03     | .04     | .05     |
| Employee Relocation Loans   | -.02    | -.04    | -.07    | -.10    |
| ≤ 25-Year Amortization Term | -.03    | -.05    | -.08    | -.11    |

NOTE: Rates cannot be reduced below .15%.

ADDITIONAL COVERAGE LEVELS MAY BE AVAILABLE. PLEASE USE MGIC'S RATE FINDER – PLUS TO DETERMINE PREMIUMS.

\*See Section 3.07d of MGIC's Underwriting Guide for eligible cash-out refinances.

MARCH 2012

71-61211 2/12

# CREDIT-TIERED BORROWER-PAID ANNUAL PREMIUMS

MGIC

## NATIONAL RATES

MARCH 2012

NOTE: Not all LTVs and credit scores are available with all programs or in all markets

Annual Premiums require that borrowers pay the first-year premium at closing. The annual renewal premium is due on the certificate's anniversary date. MGIC will bill for the annual premium due.

Rate tables provide annualized rates.

Coverage is provided through the date MI is cancelled.

### LOAN PROGRAM CATEGORIES

**Fixed Rate** applies to loans with level or declining payments for the first five years. It does not include loans with buydowns or rate concessions.

**Nonfixed Rate** applies to loans with actual or potential payment changes during the first five years.

Loans featuring potential negative amortization are not eligible for MGIC mortgage insurance.

### RATE SELECTION

**30-Year Rates** apply to loans with an amortization period greater than 25 years and not more than 40 years.

**25-Year & Under Rates** apply to loans with an amortization period of 25 or fewer years.

Select LTV category based on first lien only.

Rates may vary from state to state. Select rates based upon property location. New York has special requirements for the use of credit scoring.

### CLASS SELECTION

**Credit-tiered rates** are divided into four class levels and are based on the borrower(s) credit profile.

Loans without valid credit scores or no credit scores that otherwise meet MGIC's nontraditional credit requirements receive Class 4 rates.

Loans with other than a standard approval from an automated underwriting system, such as Fannie Mae's DU® EA or Freddie Mac's LP® Caution/Eligible or LP® Caution A-Minus/Eligible, receive Class 4 rates.

### RENEWAL OPTIONS

**Constant Renewal Rates** are applied to the original insured loan balance. The rate for years 2 through 10 is the same as the first-year rate. For years 11 through term, the premium rate is reduced to .20% or remains the same if the rate before this reduction is less than .20%.

**Declining Renewal Rates** are applied to the outstanding insured loan balance. The rate for years 2 through term is the same as the first-year rate. The loan balance is adjusted annually on the anniversary of the certificate.

### REFUNDS

Annual Premiums are refundable; refunds are prorated.

### UNDERWRITING NOTES

**Employee Relocation Loans** must meet MGIC's relocation loan guidelines at origination.

**Properties in MGIC-identified restricted markets** are subject to special guidelines. See the list of areas and guidelines at [www.mgic.com/restrictedmarkets](http://www.mgic.com/restrictedmarkets).

**LTVs greater than 95%** may not be eligible in all markets.

**LTVs greater than 90%** are limited to certain loan characteristics and markets.

Please see our complete Underwriting Guide or Underwriting Guideline Summary on [www.mgic.com](http://www.mgic.com).

### FOR MORE INFORMATION

For additional rates and coverages, use MGIC's Rate Finder – Plus, [www.mgic.com/ratefinder](http://www.mgic.com/ratefinder).

**Questions?** Contact your MGIC Account Manager or your MGIC Regional Underwriting Service Center, [www.mgic.com/directory](http://www.mgic.com/directory).

Desktop Underwriter® and DU® are registered trademarks of Fannie Mae; Loan Prospector® and LP® are registered trademarks of Freddie Mac.